



SPONSOR: Rep. Yearick & Rep. Berry & Sen. Hocker
Reps. Gray, Hilovsky, Michael Smith; Sens. Buckson,
Hoffner, Wilson

HOUSE OF REPRESENTATIVES
153rd GENERAL ASSEMBLY

HOUSE BILL NO. 284

AN ACT TO AMEND TITLE 30 OF THE DELAWARE CODE RELATING TO THE CHILD CARE AND
DEPENDENT CARE EXPENSE TAX CREDIT.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF DELAWARE:

1 Section 1. Amend § 1114, Title 30 of the Delaware Code by making deletions as shown by strike through and
2 insertions as shown by underline as follows:

3 § 1114. Child care and dependent care expense credit.

4 (a) A resident individual with taxable income of less than \$60,000 shall be entitled to a refundable credit against
5 that individual's tax otherwise due under this chapter in the amount of ~~50 percent~~ 100% of the child and dependent care
6 expense credit allowable for federal income tax purposes for the same tax year. ~~In no event shall the allowable credit under~~
7 ~~this subsection exceed the tax otherwise due under this chapter.~~

8 (b) A resident individual with taxable income of \$60,000 or more shall be entitled to a credit against that
9 individual's tax otherwise due under this chapter of 50% of the child and dependent care expense credit allowable for
10 federal income tax purposes for the same tax year. In no event shall the allowable credit under this subsection exceed the
11 tax otherwise due under this chapter.

12 ~~(b)~~ (c) In the case of spouses who file a joint federal return but who elect to determine their Delaware taxes
13 separately, the refundable credit allowed pursuant to this subsection may only be applied against the tax imposed on the
14 spouse with the lower taxable income, computed without regard to such credit, ~~and shall not exceed such tax.~~

15 Section 2. This Act shall become effective for tax years beginning after December 31, 2025.

SYNOPSIS

This Act doubles the child care and dependent care expense tax credit for resident individuals with taxable income of less than \$60,000.00 and makes that credit refundable. For those individuals with taxable income of \$60,000 or more, the credit is unchanged.